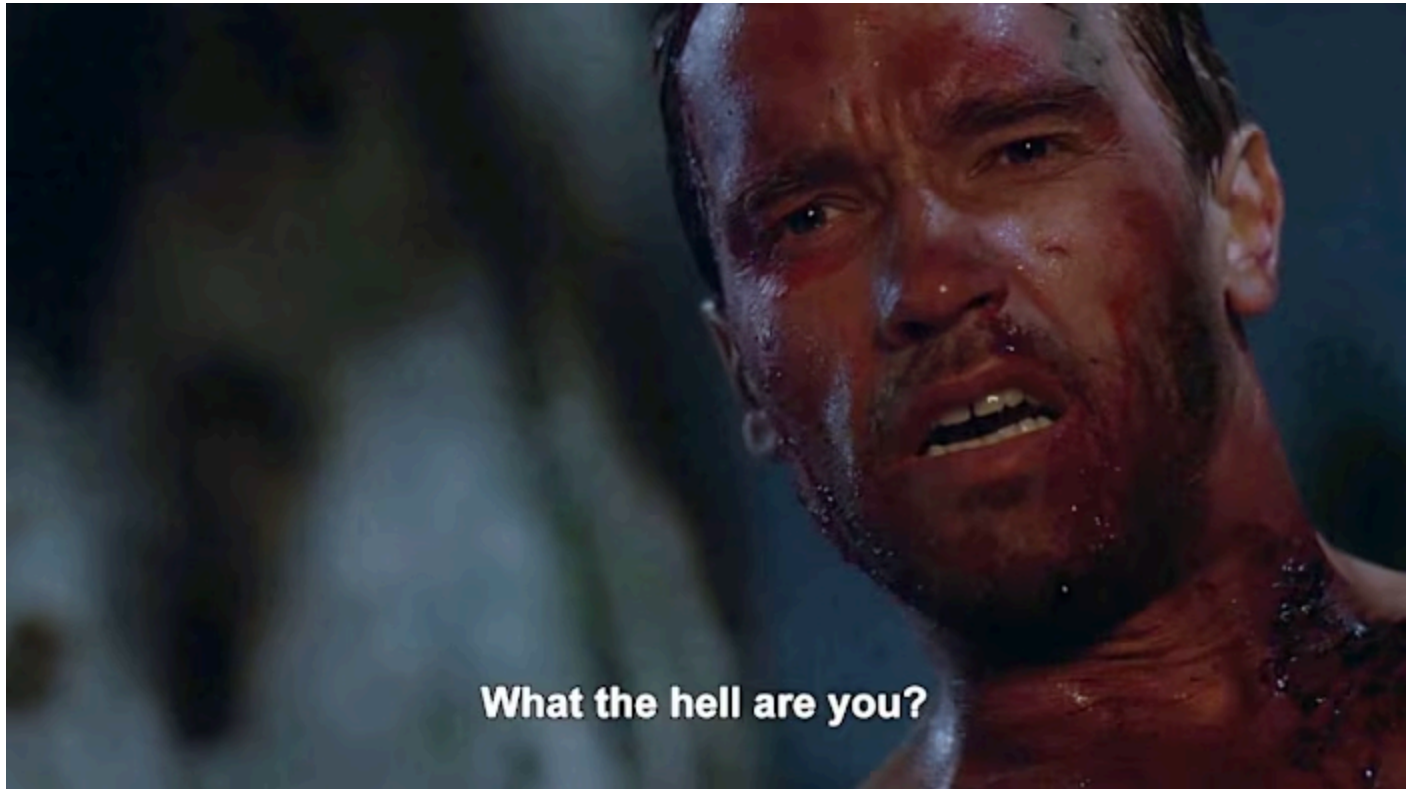


Alphaville US inflation

What even is inflation?

There are weird quirks in how CPI and PCE measure price growth — that matters



Tej Parikh

Published MAY 15 2024

Another month, another [CPI inflation data point](#), parsed to several decimal places. Markets know the Fed targets personal consumption expenditures inflation, not CPI, but they don't really care.

The CPI release leads the PCE by 2 weeks, and drives more fanfare as it sometimes helps forecast PCE — allowing traders to get positioned early. (CPI is also used to adjust social security payments, and is the reference rate for TIPS and inflation swaps and the [Medicaid inflation rebate](#)).

For markets, inflation numbers are analogous to a [Keynesian Beauty Contest](#) where judges pick winners not on their own judgment, but based on what they think other judges will vote for. It does not matter which inflation measure might most meaningfully affect rate outcomes, what matters is which measure everyone else is looking at. For now, CPI is the winner.

But the wedge between CPI and PCE inflation is abnormally high: around double its historic monthly average since 1960. Reading across from one to the other is less meaningful right now:

As a reminder, PCE has been the Fed's preferred inflation measure since Alan Greenspan was chair in the 1990s (he thought CPI was [flawed](#)).

The CPI is based on a survey of what households are buying; the PCE is based on surveys of what businesses are selling. The PCE also tries to account for substitution between goods when one good gets more expensive.

The main difference in the indices comes down to their scope, weights, and formulas.

Digging into each basket item by item, which Eric Pachman, chief analytics officer at Bancreek Capital Advisors, has done — check out these [data visualisations](#) — can leave one asking: what even is inflation?

“When I look at CPI and PCE, I don’t see anything more than two different groupings of weights” said Pachman:

Let’s call them Mr. CPI and Ms. PCE. Mr. CPI and Ms. PCE are just two different perspectives on inflation out of more than 330 million different personal perspectives on inflation across America.

Mr. CPI and Ms. PCE’s perspective on inflation underscores the arbitrary nature of what the Fed is targeting and markets are trading against. Here are some of their quirkiest quirks.

The PCE's portfolio management and investment advice component, which has a weight just over 1 per cent, has been causing some problems, running near 10 per cent on an annual basis.

It is calculated such that even if someone pays their money manager a fixed fee, if the value of their portfolio rose it would show up as inflation. As such it is highly correlated to the S&P 500 . . . is that a reasonable proxy for price changes?

Next is auto insurance. After being somewhat correlated, a huge gap opened up between the CPI and PCE in summer 2023. Headline US CPI motor vehicle inflation in March reached its highest level since 1976.

The PCE measure is derived from the net cost of auto insurance, whereas the CPI measure is a gross cost (the net measure is the cost of insurance after deducting claims). CPI gives it almost five times the weight too.

“Remember future inflation is based off of prior year weights,” says Pachman. “So, this auto insurance messiness in 2024 means its weight will be out of whack as we cycle into 2025.”

Health insurance is also weird. CPI measures what customers pay into their policy that is not distributed out in benefits, proxied in part by [insurers' margins](#). The BLS also switched from an annual to a semi-annual update to reduce lags in the index last year, which has contributed to a kink in its readings. Pachman:

We should probably brace ourselves for this to revert to the mean. And as it does, we are going to lose the deflationary benefit of this item fast.

There are plenty more quirks. Alphaville covered what is now the most topical one, [owner occupied rents](#), last month. For each, explaining why the methodologies differ, their pros and cons, and so forth is another exercise in itself.

There is a bigger point.

The different uses of CPI and PCE, variation in their weights, choice of methodologies and changes in data collection strategies highlights just how arbitrary the markets, media, and Fed's focus on decimal point misses in forecasts really is.

“If the market is a carnival, one of the hottest attractions is the inflation fun house, jam packed with distorted mirrors. Digging into the data helps expose the mirrors for what they are,” says Pachman.

While it may be a carnival for markets, inflation measures are a problem for the Fed, households and businesses.

Everyone would be better off if rates or even new inflation targets (as some are calling for) are determined by economic fundamentals rather than arbitrary data quirks. There is no perfect measure. But since the last review of how the US measures inflation was in the 1990s, perhaps it is time for another one.

[Copyright](#) The Financial Times Limited 2026. All rights reserved.

Follow the topics in this article

US inflation

Federal Reserve

Alphaville

Tej Parikh